T-12 OPERATING STATEMENT

Ironwood Marketplace | Boston, MA

Property	Ironwood Marketplace
Period Ending	April 2, 2021
Basis	Accrual - Trailing 12 Months
Prepared By	Elmstead Asset Services
Size	336,000 SF

Trailing 12-Month Operating Statement (Detail)

Account	Nov	Dec	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	T-12
4000 Gross Potential Rent	374,135	409,487	402,543	393,689	390,538	375,848	401,523	408,477	388,147	412,292	407,195	378,212	4,742,087
4010 Loss to Lease	164,900	172,858	168,482	152,405	160,257	153,922	158,464	153,845	167,453	163,064	163,637	158,657	1,937,943
4020 Vacancy Loss	16,132	18,429	18,104	16,951	16,533	18,054	17,500	16,168	17,342	17,461	18,431	17,675	208,780
4030 Concessions	313,409	326,593	333,319	351,532	334,887	319,633	348,746	337,758	315,895	311,052	323,596	320,694	3,937,114
4040 Bad Debt	50,268	50,239	51,940	51,818	50,514	55,839	52,627	50,927	50,564	56,442	50,890	52,200	624,268
4050 Late Fees	225,647	217,540	210,308	237,604	222,775	209,854	223,581	230,828	215,364	235,565	231,493	220,709	2,681,271
4060 Utility Reimbursements	187,831	179,261	199,106	180,364	189,453	195,901	187,186	183,498	182,364	188,933	196,426	182,933	2,253,258
4070 Parking Income	192,698	205,109	203,766	183,664	185,221	205,282	200,942	191,956	204,773	204,183	179,532	203,306	2,360,432
4080 Application Fees	118,206	123,539	119,442	132,217	130,654	125,577	129,981	119,262	124,451	125,193	120,001	124,540	1,493,065
4090 Pet Rent	100,055	104,688	103,523	112,138	100,537	112,948	107,928	101,823	113,236	109,373	107,065	109,691	1,283,006
4100 Laundry Income	344,869	324,816	326,169	344,065	321,032	350,674	317,445	332,958	338,699	317,146	312,459	332,042	3,962,375
4110 Cable/Internet Revenue	16,891	16,966	17,423	17,942	16,702	18,595	17,857	18,259	18,057	18,093	17,475	16,784	211,045
4120 CAM Reimbursements	45,527	42,792	43,603	44,786	46,567	47,138	47,365	42,870	46,128	46,378	42,250	42,834	538,239
4130 Tax Reimbursements	274,053	274,532	257,557	284,486	270,194	253,192	274,250	265,188	286,115	256,553	270,329	270,034	3,236,483
4140 Insurance Reimbursements	15,559	14,676	14,507	13,784	15,114	14,838	13,649	14,312	15,423	14,249	14,191	14,191	174,491
4150 Percentage Rent	58,577	62,485	59,772	61,979	56,932	63,947	64,027	60,806	61,403	60,402	57,802	57,415	725,546
4160 Misc. Income	252,464	247,914	234,366	251,867	239,160	226,617	237,576	238,252	239,397	244,784	227,944	236,631	2,876,971
4170 Payroll - Management	18,471	18,861	19,265	19,197	17,108	17,231	18,007	17,190	18,567	18,033	19,150	19,337	220,416
4180 Payroll - Leasing	18,842	18,670	20,186	20,393	19,643	21,067	20,294	18,568	19,759	20,946	18,774	19,388	236,529
4190 Payroll - Maintenance	29,585	32,234	28,477	30,560	31,514	30,836	29,133	31,289	30,861	32,135	31,319	31,961	369,904
4200 Payroll Taxes & Benefits	27,262	29,386	27,179	27,769	27,932	30,135	29,019	30,494	29,702	27,652	27,028	28,900	342,459
4210 Repairs - Plumbing	41,197	40,014	37,855	37,294	37,893	37,107	37,077	39,450	40,406	38,539	39,096	40,113	466,043
4220 Repairs - HVAC	40,236	41,223	35,921	38,338	37,216	38,979	39,696	38,921	36,268	40,868	37,731	39,644	465,043
4230 Repairs - Electrical	35,507	33,490	37,182	37,010	36,197	37,540	33,182	36,122	35,971	32,962	36,302	34,221	425,687
4240 Repairs - Appliances	36,938	40,258	36,438	40,345	39,308	38,701	37,390	36,169	36,543	38,421	38,528	37,859	456,898
4250 Painting & Decorating	5,207	5,537	5,505	4,934	5,460	5,399	5,216	5,551	5,016	5,380	5,307	5,269	63,781
4260 Flooring	19,657	19,545	17,374	18,270	17,956	17,851	17,927	19,403	18,404	19,589	19,146	17,335	222,456

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Trailing 12-Month Operating Statement (Detail)

Account	Nov	Dec	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	T-12
4440 Accounting & Audit	27,970	28,972	29,297	28,585	26,919	28,927	28,028	25,739	26,027	27,349	28,873	28,513	335,201
4450 Licenses & Permits	33,222	31,923	31,635	32,091	33,358	32,325	34,085	32,906	33,424	32,479	29,746	33,478	390,670
4460 Management Fee	20,292	20,538	20,386	22,465	21,638	21,000	21,762	21,834	21,580	20,518	22,467	21,981	256,462
4470 Property Insurance	17,564	18,238	16,719	17,728	18,995	17,867	17,088	18,937	18,313	18,202	18,999	18,197	216,848
4480 Real Estate Taxes	39,482	39,204	41,598	41,079	42,370	43,142	39,154	42,471	41,738	39,254	41,879	39,670	491,040
4490 Asset Management Fee	14,905	14,110	14,114	15,060	14,941	14,256	13,940	13,691	15,262	14,517	13,447	13,332	171,575
4500 Replacement Reserves	37,864	38,944	40,764	38,881	37,112	40,920	39,708	41,126	37,959	41,081	41,213	36,513	472,086
4510 Roof Repairs	33,941	30,771	33,180	34,368	31,581	32,914	31,256	34,274	34,360	34,101	31,272	31,442	393,458
4520 Parking Lot Repairs	29,636	31,577	29,667	30,744	30,730	31,020	30,309	31,871	28,407	28,337	29,060	31,750	363,109
4530 Signage	9,751	8,664	9,269	9,223	8,792	9,695	8,681	8,643	9,745	9,587	9,797	9,066	110,914
4540 Tenant Improvements	47,385	46,213	46,713	45,023	48,596	46,826	43,986	44,897	43,500	47,707	47,891	46,021	554,758
4550 Leasing Commissions	34,891	35,082	33,975	37,364	33,675	36,667	35,786	37,477	37,557	34,746	37,069	36,868	431,156
4000 Gross Potential Rent	406,411	408,959	374,886	386,657	387,041	381,563	402,955	400,546	405,367	398,676	407,459	373,405	4,733,925
4010 Loss to Lease	90,713	98,190	91,718	90,787	97,210	90,595	89,225	100,192	92,595	100,210	98,878	92,096	1,132,409
4020 Vacancy Loss	269,718	254,278	256,424	244,221	277,478	248,177	268,503	260,767	248,696	278,654	257,850	247,308	3,112,075
4030 Concessions	282,599	293,907	293,152	275,709	270,143	280,717	290,883	272,763	269,415	290,551	294,364	268,246	3,382,449
4040 Bad Debt	49,485	48,132	47,850	47,480	46,072	49,455	47,055	45,404	46,984	47,185	46,589	49,872	571,563
4050 Late Fees	145,227	128,900	133,104	134,854	126,872	135,964	131,109	136,413	144,303	135,306	133,036	134,313	1,619,401
4060 Utility Reimbursements	182,818	172,565	173,288	182,851	186,618	168,996	179,057	164,776	170,991	172,254	173,966	170,253	2,098,431
4070 Parking Income	180,410	182,688	171,249	186,151	185,652	166,552	179,149	169,269	174,505	184,603	172,693	167,503	2,120,424
4080 Application Fees	13,176	13,629	12,401	12,356	12,859	12,480	12,784	12,591	12,796	12,125	12,152	13,210	152,559
4090 Pet Rent	91,985	95,755	91,747	101,808	103,416	100,228	94,162	103,521	94,212	97,887	100,415	100,499	1,175,635
4100 Laundry Income	111,329	123,369	123,926	125,756	118,350	113,044	116,992	111,377	115,899	122,718	110,977	118,187	1,411,923
4110 Cable/Internet Revenue	62,218	58,353	60,543	57,375	57,254	62,925	59,532	61,907	57,765	61,127	57,349	57,221	713,571
4120 CAM Reimbursements	13,919	14,381	14,849	13,203	14,652	14,229	13,219	13,918	13,931	13,527	14,436	14,082	168,345
4130 Tax Reimbursements	236,649	225,203	247,422	233,935	226,096	238,233	248,214	223,137	241,019	248,426	231,251	233,725	2,833,309
4140 Insurance Reimbursements	169,114	156,560	158,634	165,704	166,634	154,488	170,767	166,430	164,259	154,216	166,238	158,255	1,951,298
4150 Percentage Rent	18,766	18,303	20,203	18,296	20,008	18,864	19,286	19,367	20,416	19,686	19,295	20,068	232,558
4160 Misc. Income	143,672	129,771	142,257	143,995	136,441	136,358	139,021	134,186	148,597	145,550	141,145	131,951	1,672,945
4170 Payroll - Management	20,646	22,486	20,198	22,236	21,593	20,122	22,324	22,479	21,942	19,887	21,784	21,871	257,568
4180 Payroll - Leasing	8,757	8,379	9,002	8,192	8,601	9,343	8,816	9,092	8,501	8,795	8,511	8,244	104,231
4190 Payroll - Maintenance	15,825	16,061	16,671	15,988	16,355	17,865	16,736	17,878	16,985	16,470	17,920	16,442	201,196
4200 Payroll Taxes & Benefits	14,407	14,078	13,525	14,904	14,393	13,166	13,309	13,306	14,834	14,291	14,753	13,958	168,924
4210 Repairs - Plumbing	31,294	33,092	32,504	33,532	29,570	31,116	33,017	32,202	31,455	33,212	30,529	30,551	382,075
4220 Repairs - HVAC	16,644	16,931	16,734	17,259	17,663	17,105	16,651	18,556	17,202	17,726	18,515	17,151	208,136
4230 Repairs - Electrical	22,314	23,809	23,080	23,425	23,016	22,479	22,853	22,956	23,269	23,495	23,679	23,498	277,872
4240 Repairs - Appliances	12,101	12,671	13,304	12,914	12,793	12,081	13,365	12,160	13,226	12,554	12,933	13,344	153,445
4250 Painting & Decorating	44,039	47,393	48,386	47,920	43,166	47,839	42,852	47,539	45,861	42,550	47,327	45,093	549,964
4260 Flooring	28,930	30,845	29,221	28,641	30,094	30,630	27,379	29,107	27,716	28,163	31,231	30,922	352,878
4270 Make-Ready / Turnover	9,096	9,187	8,493	9,086	9,707	9,281	9,038	9,204	9,363	9,300	9,264	9,138	110,158
4280 Landscaping Contract	28,772	31,468	29,712	31,922	29,274	28,808	32,014	30,470	31,593	32,882	32,989	32,947	372,850
4290 Snow Removal	33,551	32,877	33,313	30,930	33,198	31,073	34,025	31,692	31,355	31,605	31,328	33,031	387,978
4300 Janitorial	29,500	29,899	31,691	29,644	28,851	30,698	32,257	32,698	29,254	29,605	29,038	30,081	363,217
4310 Pest Control	37,361	36,147	37,884	34,391	34,439	37,102	34,997	37,940	34,637	38,330	33,674	34,316	431,218

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Financial Analysis

Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Management fees are calculated at 5.1% of collected revenue and are included in operating expenses. Average rent is $27 per square foot with parking at a ratio of 31 spaces per 1,000 square feet.

The going-in capitalization rate of 7.33% reflects the in-place income and the stabilized occupancy assumption. Net operating income is projected to grow at a compound annual rate of 3.7% over the hold period. Debt service coverage ratio was 8.06x on a trailing basis against a covenant minimum of 1.20x. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%.

Property Operations

Collections for the period were 88.2% of billed charges, with bad debt of 7.7% of gross potential income. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. The manager completes a monthly walk of the property and submits a variance report to the owner by the 7th business day. Service requests are tracked through a work-order system with an average completion time of 28 hours. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease.

Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Average rent is $27 per square foot with parking at a ratio of 11 spaces per 1,000 square feet. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 41 additional team members.

Valuation Discussion

Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Net operating income is projected to grow at a compound annual rate of 3.4% over the hold period. The going-in capitalization rate of 5.77% reflects the in-place income and the stabilized occupancy assumption. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Management fees are calculated at 4.7% of collected revenue and are included in operating expenses.

The going-in capitalization rate of 7.27% reflects the in-place income and the stabilized occupancy assumption. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Effective gross income for the trailing period was $390,000, representing a 2.6% increase over the prior year.

Property Operations

On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 41 additional team members. Average rent is $27 per square foot with parking at a ratio of 18 spaces per 1,000 square feet. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Service requests are tracked through a work-order system with an average completion time of 22 hours.

The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Service requests are tracked through a work-order system with an average completion time of 22 hours. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Collections for the period were 91.1% of billed charges, with bad debt of 7.1% of gross potential income.

Income and Expense Review

Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Effective gross income for the trailing period was $196,000, representing a 12.2% increase over the prior year. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Management fees are calculated at 4.1% of collected revenue and are included in operating expenses. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Debt service coverage ratio was 7.19x on a trailing basis against a covenant minimum of 1.20x.

Average rent is $27 per square foot with parking at a ratio of 42 spaces per 1,000 square feet. The going-in capitalization rate of 6.59% reflects the in-place income and the stabilized occupancy assumption. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis.

Property Operations

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Trailing 12-Month Operating Statement (Detail)

Account	Nov	Dec	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	T-12
4320 Trash Removal	42,017	39,521	38,200	39,492	38,885	43,291	40,038	42,138	41,341	40,273	40,961	41,961	488,119
4330 Elevator Contract	6,430	6,091	5,978	6,295	6,424	6,125	6,491	6,523	6,279	6,212	6,115	6,231	75,194
4340 Fire & Life Safety	8,289	7,961	8,139	8,185	7,994	8,059	7,886	8,185	7,544	8,240	8,307	7,783	96,571
4350 Security	42,936	48,707	47,799	45,528	43,501	44,478	45,987	44,376	47,679	43,109	42,995	47,683	544,777
4360 Electricity - Common	43,626	40,716	42,685	45,145	42,376	46,231	44,048	43,420	45,063	41,372	42,952	44,839	522,473
4370 Gas - Common	8,723	8,747	8,379	8,463	8,781	8,167	9,009	8,468	7,956	8,614	9,026	8,638	102,970
4380 Water & Sewer	11,726	11,439	11,734	12,332	10,951	12,268	11,340	12,324	11,332	12,156	12,008	12,292	141,902
4390 Telephone/Internet	35,580	36,177	32,920	37,482	33,052	36,657	35,133	33,991	37,490	36,199	33,849	34,303	422,832
4400 Advertising	22,793	23,074	23,180	23,601	24,336	24,194	24,918	22,432	22,121	23,814	23,614	21,866	279,945
4410 Resident Events	22,459	22,932	23,991	22,257	23,150	24,360	23,211	23,406	24,759	23,535	22,323	22,192	278,575
4420 Office Supplies	15,889	15,450	16,235	15,046	16,557	16,518	14,886	16,336	16,512	15,419	16,184	15,349	190,380
4430 Legal & Professional	25,615	25,653	24,031	25,029	25,229	25,554	24,465	26,525	24,061	25,454	26,489	24,452	302,556
4440 Accounting & Audit	22,749	20,880	21,394	21,351	22,522	20,937	22,118	23,176	21,262	23,149	22,712	21,326	263,575
4450 Licenses & Permits	18,770	20,721	19,960	20,991	19,671	21,065	20,491	19,769	19,774	19,970	21,042	18,835	241,060
4460 Management Fee	28,996	30,398	30,582	28,675	28,891	30,618	28,007	27,966	28,802	30,708	30,599	28,724	352,967
4470 Property Insurance	45,395	45,157	46,856	46,828	47,305	46,838	45,508	44,605	46,991	44,221	46,497	41,571	547,772
4480 Real Estate Taxes	36,152	36,820	36,644	33,525	34,121	34,705	37,210	36,088	35,797	35,998	37,508	33,471	428,039
4490 Asset Management Fee	26,208	26,926	28,895	27,620	28,265	26,385	27,152	28,044	28,174	27,339	28,430	26,201	329,640
4500 Replacement Reserves	6,794	6,797	7,343	6,849	7,398	7,558	7,213	7,094	7,110	6,721	6,649	7,357	84,883
4510 Roof Repairs	34,226	34,731	36,085	32,879	33,031	33,533	35,026	32,589	35,320	34,161	32,132	33,537	407,249
4520 Parking Lot Repairs	17,967	16,961	16,568	16,495	16,243	17,163	16,513	17,749	15,958	17,854	17,245	17,700	204,415
4530 Signage	24,686	23,308	23,787	22,837	24,470	23,395	23,341	21,626	24,091	22,228	22,461	22,351	278,580
4540 Tenant Improvements	15,487	14,931	15,553	14,945	15,063	15,480	14,592	14,341	13,753	15,645	15,422	14,096	179,309
4550 Leasing Commissions	34,966	36,309	35,899	35,051	33,580	35,862	32,063	33,520	31,961	35,589	35,464	32,214	412,477
4000 Gross Potential Rent	406,868	373,065	404,994	402,826	363,912	401,225	411,059	396,442	367,810	403,988	404,225	381,683	4,718,097
4010 Loss to Lease	73,396	70,213	73,358	71,779	71,180	73,415	73,478	70,971	69,428	71,299	71,362	70,846	860,725
4020 Vacancy Loss	343,559	308,428	337,886	318,182	335,885	338,016	343,922	327,857	303,982	323,719	329,334	303,420	3,914,189
4030 Concessions	264,152	256,819	264,695	239,698	258,835	247,220	241,502	263,137	245,607	241,641	257,778	245,546	3,026,632
4040 Bad Debt	300,855	329,828	324,139	311,385	307,563	305,310	310,068	335,950	299,677	326,505	309,691	322,721	3,783,692
4050 Late Fees	68,007	60,930	63,221	67,768	60,220	62,759	61,919	66,527	65,032	67,718	64,833	66,894	775,829
4060 Utility Reimbursements	319,708	293,296	311,681	314,074	307,780	307,853	293,015	294,889	309,263	283,123	297,890	282,636	3,615,208
4070 Parking Income	290,824	285,233	273,838	295,484	288,068	301,509	279,612	273,724	308,170	271,286	274,478	290,506	3,432,731
4080 Application Fees	345,899	344,963	317,145	342,707	362,523	318,441	333,106	319,266	358,589	330,374	353,402	334,626	4,061,042
4090 Pet Rent	259,344	259,143	229,537	239,868	255,012	248,443	254,316	253,360	248,491	246,493	250,647	258,493	3,003,146
4100 Laundry Income	305,128	304,038	299,368	307,754	297,697	299,614	303,484	309,716	292,823	305,375	304,700	294,490	3,624,187
4110 Cable/Internet Revenue	241,805	230,454	241,226	233,131	250,328	234,670	234,142	247,483	252,359	253,666	250,782	255,417	2,925,463
4120 CAM Reimbursements	60,513	59,008	63,181	61,473	56,297	63,573	60,040	56,256	60,760	62,096	60,315	58,433	721,943
4130 Tax Reimbursements	20,005	21,706	20,981	20,653	20,401	19,762	20,429	20,657	19,878	20,673	19,623	20,733	245,499
4140 Insurance Reimbursements	350,473	351,751	344,001	361,592	360,124	359,423	363,194	342,095	357,086	328,177	338,876	346,942	4,203,734
4150 Percentage Rent	65,634	65,246	69,733	64,802	64,472	64,335	66,550	65,417	62,293	69,923	61,726	61,613	781,744
4160 Misc. Income	184,601	176,033	186,376	187,455	185,414	179,256	181,560	178,815	180,449	190,397	191,482	170,039	2,191,878
4170 Payroll - Management	4,432	4,675	4,702	4,604	4,305	4,657	4,332	4,592	4,673	4,813	4,401	4,588	54,773
4180 Payroll - Leasing	37,810	36,934	36,850	35,588	37,874	36,957	37,507	35,858	34,392	38,233	36,895	38,265	443,163
4190 Payroll - Maintenance	9,874	10,587	10,032	11,141	10,282	11,015	10,209	9,774	10,895	10,057	10,045	9,910	123,821

Report generated 04/02/2021. Figures are unaudited and subject to change.

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Financial Analysis

Average rent is $27 per square foot with parking at a ratio of 22 spaces per 1,000 square feet. Net operating income is projected to grow at a compound annual rate of 5.4% over the hold period. The going-in capitalization rate of 7.28% reflects the in-place income and the stabilized occupancy assumption. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Debt service coverage ratio was 6.54x on a trailing basis against a covenant minimum of 1.20x.

Average rent is $27 per square foot with parking at a ratio of 30 spaces per 1,000 square feet. Operating expenses totaled $256,000 or approximately 39.35 per square foot, with real estate taxes representing the largest line item. The going-in capitalization rate of 5.94% reflects the in-place income and the stabilized occupancy assumption. Effective gross income for the trailing period was $301,000, representing a 3.5% increase over the prior year. Debt service coverage ratio was 5.10x on a trailing basis against a covenant minimum of 1.20x.

Property Operations

Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Average rent is $27 per square foot with parking at a ratio of 12 spaces per 1,000 square feet. Service requests are tracked through a work-order system with an average completion time of 39 hours. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 30 additional team members. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period.

Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Service requests are tracked through a work-order system with an average completion time of 24 hours. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 6 additional team members. The manager completes a monthly walk of the property and submits a variance report to the owner by the 40th business day. Collections for the period were 88.8% of billed charges, with bad debt of 4.6% of gross potential income.

Income and Expense Review

Effective gross income for the trailing period was $65,000, representing a 6.2% increase over the prior year. The going-in capitalization rate of 5.85% reflects the in-place income and the stabilized occupancy assumption. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Management fees are calculated at 7.5% of collected revenue and are included in operating expenses. The going-in capitalization rate of 5.54% reflects the in-place income and the stabilized occupancy assumption. Average rent is $27 per square foot with parking at a ratio of 21 spaces per 1,000 square feet. Debt service coverage ratio was 6.55x on a trailing basis against a covenant minimum of 1.20x. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%.

Management Commentary

The manager completes a monthly walk of the property and submits a variance report to the owner by the 36th business day. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 20 additional team members. Collections for the period were 96.6% of billed charges, with bad debt of 5.9% of gross potential income. Service requests are tracked through a work-order system with an average completion time of 36 hours. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis.

Service requests are tracked through a work-order system with an average completion time of 35 hours. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Average rent is $27 per square foot with parking at a ratio of 45 spaces per 1,000 square feet. The manager completes a monthly walk of the property and submits a variance report to the owner by the 17th business day. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis.

Operating Performance

Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Net operating income is projected to grow at a compound annual rate of 5.5% over the hold period. Debt service coverage ratio was 6.96x on a trailing basis against a covenant minimum of 1.20x. Effective gross income for the trailing period was $290,000, representing a 8.8% increase over the prior year.

Average rent is $27 per square foot with parking at a ratio of 14 spaces per 1,000 square feet. The going-in capitalization rate of 7.35% reflects the in-place income and the stabilized occupancy assumption. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Debt service coverage ratio was 6.95x on a trailing basis against a covenant minimum of 1.20x.

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Summary and Notes

Income and Expense Review

Debt service coverage ratio was 6.27x on a trailing basis against a covenant minimum of 1.20x. Management fees are calculated at 7.8% of collected revenue and are included in operating expenses. The going-in capitalization rate of 7.42% reflects the in-place income and the stabilized occupancy assumption. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Average rent is $27 per square foot with parking at a ratio of 43 spaces per 1,000 square feet.

Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Effective gross income for the trailing period was $472,000, representing a 3.7% increase over the prior year. Operating expenses totaled $245,000 or approximately 13.41 per square foot, with real estate taxes representing the largest line item. Debt service coverage ratio was 5.02x on a trailing basis against a covenant minimum of 1.20x. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

Leasing and Marketing

Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. The manager completes a monthly walk of the property and submits a variance report to the owner by the 44th business day.

The manager completes a monthly walk of the property and submits a variance report to the owner by the 34th business day. Average rent is $27 per square foot with parking at a ratio of 6 spaces per 1,000 square feet. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%.

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